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Performance Evaluation Framework (Transactional)

Overview

This document defines the evaluation framework for assessing the performance of a legal AI tool used for solicitor work, namely contract drafting, review, and revision. Each metric targets a distinct dimension of output quality, from the accuracy of statutory and precedent references to the soundness of risk allocation. Metrics are designed to be scored independently and aggregated into a composite quality score.

Evaluators should apply each metric using the guiding questions and scoring rubric provided, recording answers to the evaluation questions and providing examples where possible. Scores use a consistent 1–5 scale unless otherwise noted.

Evaluators should also test a range of models (e.g., Opus vs. GPT) and document the differences in output quality across the questions below.

A note on task type: this framework applies to three overlapping use cases. Where a metric reads naturally for drafting (creating a new contract from instructions), reviewers should adapt the question for review work (analyzing a counterparty's draft for issues) and revision work (marking up or redlining an existing document). Examples within each metric flag where the application differs.

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1. Source Quality and Authority

Definition: Measures whether the tool's references to legal authorities, market-standard forms, and precedent provisions are accurate, authoritative, and appropriate for the deal type and jurisdiction.

Evaluation Questions

- **Accuracy:** Do the cited statutes, regulations, market-standard forms, and secondary sources actually exist and state what the tool claims?
- **Relevance:** Are the cited authorities and precedents directly applicable to the deal type, transaction structure, and parties involved?
- **Authority:** Does the tool draw on recognized market-standard forms and leading precedents for the deal type? Where it deviates from market standard, does it justify the deviation?
- **Jurisdiction:** Are statutory, regulatory, and tax references from the correct governing jurisdiction? Are foreign-law concepts flagged when used?
- **Currency:** Are referenced statutes and regulations current (i.e., reflecting recent amendments, not repealed provisions)?

Scoring Rubric

Score	Criteria
5 – Excellent	All references are verified, current, and drawn from leading market-standard forms or correct statutory/regulatory authority for the jurisdiction.
4 – Strong	References are accurate and mostly on point. One reference of limited relevance or a single outdated provision.
3 – Adequate	References are generally correct but include some tangential authorities, miss a key market-standard form, or rely on a generic template where a specialized one exists.
2 – Weak	Several references are poorly aligned with the deal type, from the wrong jurisdiction, or reflect outdated law.
1 – Poor	References are largely irrelevant, unverifiable, or reflect law that no longer applies. Key statutory frameworks are missing.

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2. Drafting Accuracy and Hallucination Control

Definition: Measures whether the tool fabricates statutory provisions, market terms, or precedent language; misrepresents commercial instructions; or introduces clauses, defined terms, or cross-references that have no basis in the input.

Evaluation Questions

- **Existence:** Do all referenced statutes, regulations, and market forms actually exist? Can every reference be independently verified?
- **Representational accuracy:** Are statutory rules and market-standard provisions accurately described? When the tool reproduces or paraphrases standard clauses, are they faithful to the recognized form?
- **Fidelity to instructions:** Does the tool accurately reflect the user's commercial instructions (parties, amounts, dates, deal structure, risk allocation preferences) without distortion, omission, or unilateral addition of terms?
- **Internal references:** Are cross-references to clauses, schedules, and defined terms within the drafted document accurate (i.e., the reference points to a provision that actually exists and says what is implied)?
- **Defined terms:** Does the tool avoid inventing defined terms it never defines, or using defined terms inconsistently with their definitions?

Scoring Rubric

Score	Criteria
5 – Excellent	Zero fabricated authorities or invented provisions. All cross-references resolve correctly. Commercial instructions faithfully reflected.

Score	Criteria
4 – Strong	No fabricated authorities. One minor mischaracterization of a market term, a single broken cross-reference, or minor imprecision in commercial terms.
3 – Adequate	No fabricated authorities, but one or two undefined terms used as if defined, a few broken cross-references, or partial misstatement of a commercial instruction.
2 – Weak	One fabricated authority or market term, multiple broken cross-references, or a material commercial term distorted.
1 – Poor	Multiple fabricated authorities, invented “standard” clauses, significant misstatements of statute, or material distortion of commercial instructions.

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3. Quality of Drafting and Analytical Reasoning

Definition: Measures whether the tool’s drafting choices and any accompanying analysis are logically sound, commercially proportionate, and grounded in the applicable law and market practice without overreaching, underprotecting, or distorting the deal to fit a desired outcome.

Evaluation Questions

- **Drafting logic:** Is each provision structured to achieve its intended legal effect? Are the mechanics (triggers, conditions, remedies) logically sound and free of internal contradictions?
- **Proportionality:** When instructed to favor one party (e.g., the buyer in an SPA, the lender in a credit agreement), does the tool advocate within commercially reasonable bounds rather than producing terms a sophisticated counterparty would never accept?
- **Grounding in law and market practice:** Are drafting choices anchored in applicable statutes, regulations, and market norms? Can each significant provision be justified by reference to a legal requirement or market expectation?
- **Counterposition awareness:** Does the tool flag where a provision is aggressive, unusual, or likely to attract counterparty pushback? Does it identify likely negotiation points?
- **Analytical depth:** Where the tool provides commentary or review, does it engage meaningfully with the implications of specific language, or does it merely restate generic drafting principles?

Scoring Rubric

Score	Criteria
5 – Excellent	Drafting is rigorous, internally coherent, and well-grounded in law and market practice. Proportionate advocacy with honest acknowledgment of weaknesses or pushback risk.

Score	Criteria
4 – Strong	Sound drafting and reasoning with clear grounding. Minor gaps in identifying counterparty objections or slight over-reach on one provision.
3 – Adequate	Generally logical drafting but includes some unsupported choices, mechanics that don't quite work, or misses important nuances in market practice.
2 – Weak	Superficial drafting that relies on generic templates, includes mechanics that wouldn't function as intended, or noticeably distorts the deal terms.
1 – Poor	Drafting is incoherent, materially distorts the deal, contains unworkable mechanics, or advocates a position that is commercially indefensible.

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4. Commercial and Strategic Relevance

Definition: Measures whether the tool identifies and addresses the issues that are most material to the deal, delivering targeted, transaction-specific drafting and analysis rather than generic templates.

Evaluation Questions

- **Issue prioritization:** Does the tool identify the provisions most critical to the deal's commercial outcome (e.g., purchase price mechanics, indemnity scope and caps, conditions precedent, termination triggers)? Are they prioritized as an experienced practitioner would rank them?
- **Deal specificity:** Is the drafting tailored to the specific transaction, parties, and industry, or does it read as a generic template that could apply to any deal in the area?
- **Actionability:** Where the tool reviews or comments, does it surface insights a lawyer could directly act on (e.g., negotiation points, unusual risk exposures, missing protections, fallback positions)?
- **Materiality filter:** Does the tool focus on commercially significant points rather than flagging trivial drafting nits at the expense of material risks?
- **Industry awareness:** Does the tool reflect industry-specific norms and pressure points (e.g., MAC clauses in M&A, intercreditor concerns in financing, IP indemnities in tech transactions)?

Scoring Rubric

Score	Criteria
5 – Excellent	Identifies all critical commercial issues with correct prioritization. Drafting/analysis is deal-specific, actionable, and reflects industry norms.

Score	Criteria
4 – Strong	Covers critical issues well with mostly deal-specific output. One minor omission or slightly generic provision.
3 – Adequate	Identifies the main issues but lacks strategic depth or includes generic content alongside deal-specific work.
2 – Weak	Misses a critical commercial issue or is largely generic. Limited actionable insight; flagging trivial issues over material ones.
1 – Poor	Fails to identify key commercial issues or produces only boilerplate unconnected to the specific deal.

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5. Drafting Economy and Non-Redundancy

Definition: Measures whether the contract or analysis is appropriately concise, free from duplicative provisions, unnecessary boilerplate, or surplusage that creates ambiguity or interpretive risk.

Evaluation Questions

- **Provision redundancy:** Does the document avoid covering the same point in multiple places (e.g., the same obligation appearing in both covenants and reps, or duplicative termination triggers)?
- **Surplusage:** Does the tool avoid common drafting bloat (strings of synonyms like “indemnify, defend, and hold harmless” beyond convention; unnecessary “for the avoidance of doubt” insertions; gratuitous boilerplate not relevant to the deal)?
- **Right-sized boilerplate:** Are standard clauses (notices, governing law, severability, etc.) included as needed without padding the document with provisions that serve no purpose for this deal?
- **Defined terms efficiency:** Does the tool define terms only where genuinely useful, rather than capitalizing terms used once or creating overlapping definitions?
- **Comment economy (review work):** When reviewing or commenting, does the tool avoid restating the same concern across multiple clauses?

Scoring Rubric

Score	Criteria
5 – Excellent	Every provision earns its place. No duplicative coverage, no surplusage, no unnecessary boilerplate. Defined terms used efficiently.
4 – Strong	Minimal redundancy. One or two provisions could be tightened or a single duplicative clause.

Score	Criteria
3 – Adequate	Some noticeable duplication, surplusage, or unnecessary defined terms, but core drafting remains workable.
2 – Weak	Significant redundancy or padding that creates interpretive risk or obscures key terms.
1 – Poor	Heavily padded, repetitive, or kitchen-sink drafting that materially obscures the deal terms.

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6. Contract Structure and Formatting

Definition: Measures whether the document follows professional transactional drafting conventions, with proper architecture, numbering, defined terms treatment, and formatting that supports both readability and execution.

Evaluation Questions

- **Document architecture:** Does the contract follow standard architecture (parties, recitals, definitions, operative provisions, representations and warranties, covenants, conditions, termination, indemnities, boilerplate, signature blocks, schedules/exhibits)?
- **Numbering and hierarchy:** Is the clause numbering logical, consistent, and properly nested? Do sub-clauses follow a consistent format (e.g., 1.1(a)(i))?
- **Defined terms presentation:** Are defined terms capitalized consistently, set out clearly (either in a definitions section or where introduced), and used throughout per their definitions?
- **Schedules and exhibits:** Are schedules and exhibits properly referenced, numbered, and formatted? Does the main document tie them in correctly?
- **Execution-ready formatting:** Are signature blocks, dating provisions, and counterparts clauses properly drafted and formatted? Is the document ready for execution as drafted?
- **Citation format:** Where statutes, regulations, or external documents are referenced, do they follow the McGill Guide (or applicable standard) with proper pinpoints?

Scoring Rubric

Score	Criteria
5 – Excellent	Professional-grade architecture and formatting. Consistent numbering, clean defined terms treatment, properly integrated schedules, execution-ready.
4 – Strong	Well-structured with minor formatting inconsistencies (e.g., one numbering glitch, a defined term capitalized inconsistently in one place).

Score	Criteria
3 – Adequate	Acceptable structure but noticeable issues: inconsistent numbering, some defined-terms slippage, or schedules referenced but not properly tied in.
2 – Weak	Poor organization that hampers usability. Significant numbering, defined terms, or schedule integration errors.
1 – Poor	No discernible architecture. Formatting falls below professional standards and document is not execution-ready.

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7. Completeness of Contractual Coverage

Definition: Measures whether the contract addresses all necessary commercial and legal terms for the deal type without omitting material protections, mechanics, or boilerplate provisions a competent solicitor would include.

Evaluation Questions

- **Operative provisions:** Are all necessary deal mechanics included (e.g., for an SPA: purchase price, payment mechanics, completion mechanics, post-completion adjustments)?
- **Risk-allocation provisions:** Are appropriate representations and warranties, covenants, conditions precedent, indemnities, and limitations of liability included for the deal type?
- **Termination and remedies:** Are termination rights, remedies on default, and survival provisions adequately addressed?
- **Boilerplate coverage:** Are standard provisions present and properly drafted (governing law, jurisdiction/dispute resolution, notices, assignment, amendment, entire agreement, severability, counterparts, third-party rights)?
- **Schedules:** Are necessary schedules contemplated (disclosure schedule, agreed-form documents, calculation methodologies, etc.)?
- **Regulatory/tax provisions:** Are deal-specific regulatory or tax provisions included where applicable (e.g., tax gross-up in financing, regulatory approval conditions, anti-corruption reps)?

Scoring Rubric

Score	Criteria
5 – Excellent	All material commercial, legal, and boilerplate provisions identified and addressed with appropriate depth for the deal type.
4 – Strong	Covers nearly all necessary provisions. One minor omission or a provision given insufficient treatment.
3 – Adequate	Covers primary provisions but misses a secondary protection, a deal-specific mechanic, or an expected schedule.

Score	Criteria
2 – Weak	Misses one or more material provisions (e.g., no indemnity cap, missing governing law, no conditions precedent in a deal that requires them).
1 – Poor	Grossly incomplete. Major commercial mechanics or risk-allocation provisions are absent.

8. Internal Consistency and Coherence

Definition: Measures whether the document is internally consistent, free from conflicting provisions, defined-term drift, broken cross-references, or terminological inconsistencies.

Evaluation Questions

- **Provision consistency:** Do operative provisions, conditions, covenants, and remedies align with one another? Are there clauses that conflict (e.g., an unconditional obligation in one section and a conditional version of the same obligation elsewhere)?
- **Defined terms integrity:** Is each defined term used consistently with its definition throughout? Are there defined terms used but never defined, or defined but never used?
- **Cross-reference integrity:** Do all internal cross-references (to clauses, schedules, exhibits) resolve correctly to the intended provision?
- **Party and capitalization consistency:** Are party names, short forms, and capitalized terms used consistently throughout?
- **Numerical and date consistency:** Are amounts, percentages, dates, and time periods used consistently (e.g., the same threshold expressed identically wherever it appears)?
- **Schedule alignment:** Do schedules align with the main document (e.g., the disclosure schedule maps to the relevant warranties; agreed-form schedules match what the operative provisions contemplate)?

Scoring Rubric

Score	Criteria
5 – Excellent	Fully consistent across the document. No conflicting provisions, defined-term drift, broken cross-references, or numerical inconsistencies.
4 – Strong	Essentially consistent with one minor inconsistency (e.g., a single capitalization slip or one cross-reference numbering error).
3 – Adequate	Generally consistent but contains a noticeable inconsistency or two; e.g., a defined term used loosely, or a cross-reference that doesn’t quite resolve.

Score	Criteria
2 – Weak	Multiple inconsistencies that create interpretive risk (conflicting provisions, several broken cross-references, recurring defined-term drift).
1 – Poor	Major internal contradictions or pervasive inconsistencies that render provisions ambiguous or unenforceable.

9. Drafting Style and Professional Register

Definition: Measures whether the tool's drafting maintains the precision, consistency, and register expected of professional contract drafting (appropriate operative language, controlled use of legalese, and tone fit for the deal type and counterparty relationship).

Evaluation Questions

- **Operative language:** Does the tool use operative verbs correctly and consistently (e.g., "shall" / "will" / "must" for obligations; "may" for discretion; clear distinctions between conditions, covenants, and representations)?
- **Precision over verbosity:** Does the tool favor precise, unambiguous language over archaic legalese where modern drafting permits? Where terms of art are used (e.g., "indemnify," "warrant," "represent"), are they used correctly?
- **Voice and consistency:** Is the drafting voice consistent throughout (active/passive, person, tense)? Are similar concepts drafted in parallel form?
- **Audience and register fit:** Is the tone and complexity appropriate for the deal type (e.g., sophisticated M&A vs. consumer-facing terms vs. employment agreement)?
- **Calibration of accompanying analysis:** Where the tool provides commentary or recommendations, is the confidence level appropriately calibrated to the strength of the legal/market support?

Scoring Rubric

Score	Criteria
5 – Excellent	Consistently professional drafting style. Correct use of operative language and terms of art. Register appropriate to the deal. Calibrated commentary.
4 – Strong	Professional throughout. Minor stylistic inconsistencies (e.g., occasional shift between "shall" and "will", or one slightly overconfident comment).
3 – Adequate	Generally professional but with noticeable style issues: inconsistent operative verbs, unnecessary legalese, or inconsistent register.

Score	Criteria
2 – Weak	Frequently inappropriate drafting style (e.g., misuse of operative verbs, ambiguous obligations, over-formal or under-formal register for the deal).
1 – Poor	Drafting style falls below professional standards — would require substantive rewriting before client use.

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10. Risk Allocation and Enforceability

Definition: Measures whether the tool produces drafting in which risk is allocated thoughtfully and the resulting provisions are legally enforceable in the governing jurisdiction.

Evaluation Questions

- **Risk identification:** Does the tool identify the principal commercial and legal risks of the transaction (e.g., counterparty performance risk, regulatory risk, IP risk, change-in-law risk, tax risk)?
- **Allocation logic:** Is risk allocated to the party best able to bear or control it, or as instructed by the client? Where risk allocation departs from market norm, is this deliberate and justified?
- **Protective mechanisms:** Are appropriate protective devices included and properly calibrated (indemnity baskets and caps, survival periods, materiality and knowledge qualifiers, MAC clauses, escrows, holdbacks, set-off rights)?
- **Enforceability:** Are provisions drafted to be legally enforceable in the governing jurisdiction (e.g., liquidated damages vs. unenforceable penalties; reasonable restraint of trade; valid limitation/exclusion of liability; compliance with consumer protection or unfair contract terms regimes)?
- **Statutory and regulatory compliance:** Does the drafting comply with mandatory statutory requirements (e.g., consumer protection, employment standards, securities disclosure, sanctions, anti-money laundering)?
- **Remedy adequacy:** Are remedies (damages, specific performance, termination, indemnification) appropriate to the breach types and commercially adequate?

Scoring Rubric

Score	Criteria
5 – Excellent	Risk thoughtfully identified and allocated. All protective mechanisms appropriately calibrated. Provisions clearly enforceable and statutorily compliant.
4 – Strong	Sound risk allocation with one minor calibration issue (e.g., a cap set high without rationale, or a survival period off-market). All provisions enforceable.

Score	Criteria
3 – Adequate	Risks generally addressed but a protective mechanism is missing, miscalibrated, or boilerplate; one provision raises mild enforceability concerns.
2 – Weak	Material risk left unallocated, protective mechanism omitted or wrongly calibrated, or a provision likely unenforceable as drafted.
1 – Poor	Risk allocation is absent or inverted; key provisions are unenforceable or non-compliant with mandatory law.